Atharva Naveen Haas economic review

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Prompt:

In the context of global sustainability efforts, explore the role of consumerism in shaping economic practices. How do trends like fast fashion and drop-shipping impact the economic and environmental landscapes of developing countries? Additionally, discuss how ESG metrics influence corporate profitability and sustainability practices across different economies. (750 words)

Please ground your work in evidence from credible sources like economic journals and historical data. Your work MUST include a work cited page.

Due Date: March 14, 2025

Consumerism, Fast Fashion, and the facade of ESG: A Global Crisis of Equity and Ecology

Imagine your closet from 30 years ago, how big was it; not—that big I suppose. In 1990, an average American bought 40 articles of clothing each year. By 2023, that number rose to 65, driven by the West's growing consumerism and its 1.7 trillion dollar fast fashion industry. The massive expansion is directly a reflection of capitalism making a statement in the West, amidst all the economic growth we see on the white papers we see a dark reality that is untalked about. The truth is unheard of, hidden under papers where developing nations endure ecological collapse and labor exploitation, while Environmental, Social, and Governance (ESG) metrics often serve as corporate facades rather than an ask for systemic change, this is how treacherous capitalism and consumerism can be. In this essay, we can analyze how unchecked consumerism, boosted by globalization, entrenches inequality and environmental harm, whilst ESG metrics risk becoming tools for corporations to greenwash investors.

Fast Fashion: The Cost of Profit-Driven Exploitation

Fast Fashion's business model is driven by hyper-exploitation to make money, these businesses' cutting corners is reaching the extreme. In Bangladesh, 80% of garment workers are women earning 0.13/hour. The International Labour Organization reported that 68% of Bangladeshi factories lack fire exits, a haunting echo of the 2013 Rana Plaza collapse that killed 1,134 people. Large conglomerates such as Shein and Temu exemplify this negligence: workers in Guangzhou, China report 18-hour shifts to produce 500,000 daily items with a base pay of $556 and a 2-cent commission per item. These unlivable wages and long hours go back to the harsh time of industrialization for workers.

The shocks of dropshipping even make economies more vulnerable. One dress shipped from China to the U.S. emits 6.3 kg of CO2, while returns generate 92 million tonnes of textile waste is produced every year. For Indonesia, this is as bad as 7.8 million tons of plastic waste, costing 450 million in tourism and fishing losses. What is termed "growth" and is celebrated in the boardrooms is the ledger of ecological debt in these developing nations.

The ESG Paradox: Greenwashing and Global Divides ESG metrics are often more about ensuring profits than about social equity in their Papers.

Although 90% of S&P 500 firms write ESG reports, their commitments mainly contradict the purposes of the reporting which becomes "greenwashing": H&M's Conscious Collection uses 20% more synthetics than the mainline yet sells itself as "eco-friendly". Apple's pledge of being "carbon-neutral" is just another greenwashing scheme, 75.3% of Chinese electricity is produced by coal whilst 95% of Apple's manufacturing comes from China, being carbon neutral doesn't just mean in the context of Silicon Valley. When a company has a monopoly manipulating data does not become a hard thing, Amazon's ESG reports do not count warehouse injuries for Bangladesh, where the injury rate of workers is three times more than the global average, and where they were put under the purview of the German Supply Chain Act.

ESG Metrics: Propelling Profitability and Sustainability Worldwide

ESG indicators are now a requirement for business profitability and sustainability in all economies. ESG businesses also have revenue growth of 9.7% on average versus 4.5% for non-ESG implementation businesses. ESG businesses also have profit margin growth of as much

as 9.1%, with the U.S. being 11%.

Further, companies with strong ESG practices access capital more readily—84% report easier access to capital, referencing the "ESG value premium."

Regional variations indicate the impact of ESG implementation:

U.S. firms experience the highest rise in profitability, with European firms benefiting from stringent regulations like the EU Green Deal. In emerging economies, ESG implementation improves a company's reputation and provides access to foreign capital.

Productivity and brand loyalty that enable long-term growth are built through successful stakeholder engagement. Though ESG metrics promise much for sustainability and profitability, their utilization as a tool for greenwashing only serves to entrench injustices and environmental degradation emphasizing the need for actual system change and not small changes.

Conclusion: Pursuing Real Equity and Sustainability:

The crises of global consumerism, exploitative capitalism, and fast fashion require system change. Although ESG metrics can encourage equity and sustainability, their use as greenwashing causes greater harm. Genuine change has to come in the form of binding regulation, circular economies, and a new definition of growth—away from exploitative profit towards a system founded on ecological health and social justice.

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